

MGTF-495 Special Topics: Fixed Income

Spring, 2026

PROFESSORS: Parth Bhatt, Chris Girard CFA

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OFFICE HOURS: see canvas

ROOM LOCATION: Otterson Hall 1E107

Friday 9 am - 11:50 am

OBJECTIVES:

During this course use will:

- Analyze and value many types of debt including corporate, sovereign, and municipal.
- Recognize opportunities in the fixed income world.
- Calculate duration, convexity and credit spreads.
- Build fixed income portfolios where price risk and reinvestment risk offset each other
- Analyze term structure, inflation, currency and economic data
- Appreciate fixed income's position in a diversified portfolio
- Make use of the Bloomberg terminal's extensive fixed income capabilities to search for bonds, build a portfolio and track assets.
- Meet industry people and enjoy guest speakers

DESCRIPTION:

As a narrative to take us through the world of fixed income we are going to follow the life of an actual loan made to a publicly traded corporation. This loan originated as an unsecured, investment grade bond. When it started out the yield was low and the prospect for full repayment was excellent. Due to unforeseen circumstances, the bond migrated to junk. Junk bonds are quite different from investment grade bonds – and we will learn how. Conditions for the issuer worsened and the loan transformed again. This time it was exchanged for secured, 2nd lien bonds (also known as an out-of-court restructuring). Eventually, with much kicking and screaming, this loan was transformed by the bankruptcy court into the present form - a diminished package of investment grade bonds, warrants and equity. The original loan lives on in this new form.

Following the life, death and resurrection of this actual loan is a novel way to shed light on fixed income categories, capital structure elements and the dark underside of capitalism.

MATERIALS

Fixed Income Analysis (CFA Institute Investment Series) Fourth Edition, James F. Adams, PhD, CFA Donald J. Smith, PhD, Wiley, ISBN-13: 978-1119627289, ISBN-10: 1119627281 (*Earlier editions of the textbooks, within reason, are acceptable as exercises are not explicitly assigned from the textbook*)

SCHEDULE

We will meet once per week for 10 weeks:

Session	Date	Topic(s)	Reading(s)	Deliverable(s)*
1	4/3/26	Introduction	Part 1, Chapter 1 Bloomberg Bond Portfolio	Instructor Slide Deck
2	4/10/26	Defining elements, markets, valuation	Part 1, Chapter 2 & 3 Case example: Capital structure arbitrage	Instructor Slide Deck
3	4/17/26	Asset-backed securities	Part 1, Chapter 4 Case example: Michael Burry's "Big Short"	Instructor Slide Deck
4	4/24/26	Duration, convexity	Part 1, Chapter 5 Case example: Century bonds	Instructor Slide Deck
5	5/1/26	Credit analysis (group project due)	Part 1, Chapter 6 Case example: Howard Mark's credit cycle	Instructor Slide Deck
6	5/8/26	Term structure, economics concepts	Part 2, Chapter 7 Case example: Bill Gross, riding the yield curve.	Instructor Slide Deck
7	5/15/26	Binomial interest rate trees, embedded options	Part 2, Chapter 8 – 9 Case example: Harley Bassman's MOVE index	Instructor Slide Deck
8	5/22/26	Portfolio, duration gap	Part 3, Chapter 12 Case example: Jeff Gundlach's low-duration overlay	Instructor Slide Deck
9	5/29/26	Yield & credit strategies, Hands-on in the Bloomberg Lab	Part 3, Chapter 14 & 15 Case example: Credit screening	Instructor Slide Deck
10	6/5/26	Review session / Bond Drama Class Play	Case example, "the unusual," Bowie bonds, bearer bonds, green bonds, dirt bonds, etc.	Instructor Slide Deck

ASSIGNMENTS

Each class there will be a short, open-book quiz.

Homework will consist of multiple choice canvas quizzes and FI portfolio updates.

Credit analysis group project due 5/1/2026

Final exam is open-book, cumulative

GRADING

Assignments	Points [or percentage]
Quizzes & portfolio participation	25
Group Project	25
Final Exam (open book)	25
Homework & class participation	25
Total	100

Note: During the quarter Canvas may calculate an un-weighted grade average that may differ significantly from your final grade.

ABOUT YOUR INSTRUCTORS:

Parth Bhatt is the Chief Investment Officer of San Bernadino County. He manages \$10.5 billion in total assets under the County's IPS and AAA/S1 Fitch rating guidelines with credit exposure across the US, Canadian, European, Japanese and Australian issuers. Chris Girand is an instructor and private investor. He was appointed by the U.S. Trustee to help restructure \$6.2 billion California Resources Corporation debt (NYSE: CRC), on which the class narrative is based.

ACADEMIC INTEGRITY

Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind. Students regurgitating CheatGPT responses will be publicly flogged with a crusty sail bag.

The complete UCSD Policy on Integrity of Scholarship can be viewed at:

<http://senate.ucsd.edu/Operating-Procedures/Senate-Manual/Appendices/2>

STUDENTS WITH DISABILITIES

A student who has a disability or special need and requires an accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member in order to initiate the request for accommodation in classes, examinations, or other academic program activities. No accommodations can be implemented retroactively.

Please visit the [OSD website](#) for further information or contact the Office for Students with Disabilities at (858) 534-4382 or osd@ucsd.edu.

